that British living standards must be kept up even at the cost of keeping down at subsistence level or less hundreds of millions of peoples in Asia and Africa. No one wants to reduce British standards, but it is obvious that the peoples of Asia and Africa are never going to agree to the maintenance of this colonial economy which keeps them at a sub-human level. The annual purchasing power (pre-war) in Britain is said to have been £ 9 7 *per capita* (in the U.S.A. it was much greater); in India it was less than £ 6 . These vast differences cannot be tolerated, and indeed the diminishing returns of a colonial economy ultimately affect adversely even the dominating power. In the U.S.A. this is vividly realized, and hence their desire to raise the colonial peoples' purchasing power through industrialization and self-government. Even in Britain there is some realization of the necessity of Indian industrialization, and -he Bengal famine made many people think furiously on this subject. But British policy aims at industrial development in India under British control with a privileged position for British industry. T h e industrialization of India, as of other countries in Asia, is bound to take place; the only question is one of pace. But it is very doubtful if it can be fitted in with any form of colonial economy